

Step 1) The Projections for NVIDIA's financial year 2025 unsurprisingly show another year of extreme growth and financial success. Adoption of NVIDIA's product offering continues to grow and find new markets as corporations worldwide expand their data center needs and AI use. Competitors like Intel and AMD are scrambling to create a product that can compete in the space as effectively but for the near future NVIDIA's dominance in their sector will continue to grow. The difficult prediction that follows is, how much? Proforma techniques utilize historical data in many places to predict how a company will continue operate as a slightly improved version of themselves. It fails to recognize fully the sustainable growth explosion that NVIDIA's new tech offerings brought them in 2023 and 2024. The projections also utilize managerial statements which have some incentive to bias, and analyst predictions which can also be flawed and share a similar bias. In the Proforma analysis below, historical data skews conservative while the analyst and management predictions skew the data more positively. Hopefully the historical and future biases from this analysis will balance one another and result in the most accurate projected outcomes of NVIDIA's 2025 financial year.

Step 2.1) Net Income Waterfall

NVIDIA '25 Projections (\$ Millions)	
Revenue	\$ 104,589.83
Cost of Goods	\$ (21,706.24)
Gross Margin	\$ 82,883.59
SG&A	\$ (13,586.33)
Waterfall Net Income	\$ 69,297.26
Proforma Estimated Net Income	\$ 47,020.80

Table 1: NVIDIA '25 Waterfall Projections

Table 1 shows the Waterfall data used to create the Waterfall chart below in figure 1. It also includes one additional data point: the Proforma Estimated Net Income (Proforma NI). The Proforma NI is explained in steps below and is calculated by standard analyst methods while the Waterfall Net Income figure comes from a simple calculation:

$$\text{Waterfall Net Income} = \text{Revenue} - \text{COGS} - \text{SG\&A}$$

Equation 1: Waterfall Net Income Calculation

The waterfall net income here is calculated without historical data and is used more like a plug to predict Net Income if the proforma Revenue, COGS, and SG&A predictions are correct. The Proforma NI calculates that figure using historical data for Income growth.

\$ Million	2024	2023	2022	2021	2020	Average	Management Projection	Analyst Projection	Final Forecast	2025 Proforma
Net Income	\$29,760	\$4,368	\$9,752	\$4,332	\$2,796					\$47,020.80
Net Income Growth	581.32%	(55.21%)	125.12%	54.94%	-	60.48%	N/A	58%	59%	

Table 2: Proforma Net Income Table

Table 2 shows the data used to calculate the Proforma Estimated Net Income. There are a few key items to notice in this table: 1) in 2024 NVIDIA reported a 581% growth in net income and in 2023 a shrinkage of 55% net income. The four years of net income growth data give us a Standard deviation of 242%. With data this varied it is impossible to create a meaningful prediction using the known historical data. By averaging the net income growth equally with years past we have created a negative skew to NVIDIA's NI growth here. The waterfall net income utilizes proforma estimates of Revenue which wasn't available to NI. That revenue estimate includes a management projection in its calculation. I believe the Waterfall Net income is for that reason, a more balanced prediction of NVIDIA's '25 NI. I have used that number in the Waterfall chart below.

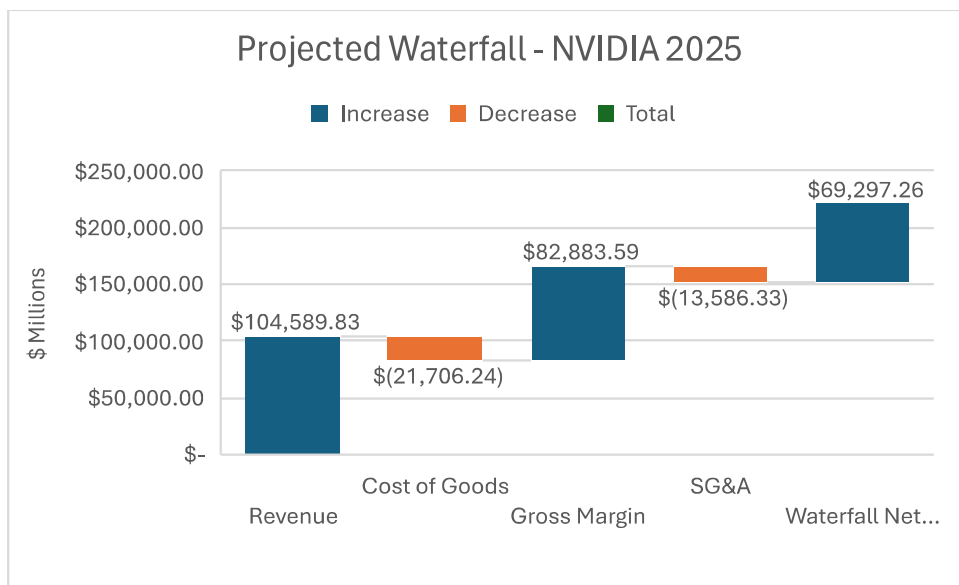


Chart 1: Projected NVIDIA '25 Net Income Waterfall

An explanation of the proforma estimates used for Revenue, COGS, Gross Margin, and SG&A are explained in steps to come.

Step 2.2) Revenue & Operating expenses: COGS, Gross Margin, and SG&A projections

To calculate the proforma estimates in this section I began with calculating projected Revenue using data from NVIDIA's income statement, annual report, and analyst projections from [alphaspread.com](https://www.alphaspread.com/security/nasdaq/nvda/analyst-estimates) (<https://www.alphaspread.com/security/nasdaq/nvda/analyst-estimates>).

Fiscal year is February-January. All values USD Millions. Highlighted = calculated	2024	2023	2022	2021	2020	CAGR or AVG	Management Projection	Analyst Projection	Final Forecast	2025 Proforma Projection
Sales/Revenue	60,922	26,974	26,914	16,675	10,918	41.03%	122.00%	52.00%	71.68%	\$104,589.83

Table 3: Revenue Proforma 2025 Estimate

The expectations I had for this calculation really held true in practice. I anticipated that the CAGR calculation would give us a conservative estimation of Revenue growth. Comparing the 41% from the CAGR estimate with management projections of 122% explains right away why the Analyst projection comes in higher at 52%. Interestingly the analyst site also gives an estimates accuracy rating. They report an average miss on this estimation of 1% but for their 2025 estimate they rank their confidence 2/5 on this estimate. It is very hard to predict where NVIDIA will land in 2025 since historical data is not very useful given the growth in 2024.

From there, I can estimate Net Income growth using historical and analyst estimates from the same source.

Fiscal year is February-January. All values USD Millions.	2024	2023	2022	2021	2020	CAGR or AVG	Management Projection	Analyst Projection	Final Forecast	2025 Proforma Projection
Net Income	29,760	4,368	9,752	4,332	2,796	X	X	X	X	\$47,020.80
Net Income Growth	581.32%	-55.21%	125.12%	54.94%	-	60.48%	x	58%	59%	X

Table 4: Net Income Proforma 2025 Estimate

Next, I calculate estimated cost of goods sold and SG&A Expense using historical data and a management estimate from the annual report.

Fiscal year is February-January. All values USD Millions.	2024	2023	2022	2021	2020	CAGR or AVG	Management Projection	Analyst Projection	Final Forecast	2025 Proforma Projection
Cost of Goods Sold (COGS) incl. D&A	16,621	11,618	9,439	6,279	4,135	x	x	x	x	21,706
COGS % Calculated	27.28%	43.07%	35.07%	37.66%	37.87%	Avg: 36.19%	25%	x	30.60%	x

Table 5: COGS Proforma 2025 Estimate

Fiscal year is February-January. All values USD Millions.	2024	2023	2022	2021	2020	CAGR or AVG	Management Projection	Analyst Projection	Final Forecast	2025 Proforma Projection
SG&A Expense	11,329	9,779	7,434	5,780	3,892	x	x	x	x	13,586
SG&A / Revenue	18.60%	36.25%	27.62%	34.66%	35.65%	30.56%	9.29%	x	19.93%	x

Table 6: SG&A Proforma 2025 Estimate

Historical data here is a much more accurate guide than in other cases. NVIDIA's product is much more marketable than their previous offering, but the materials and labor used to create it, and labor associated haven't changed as drastically.

Step 2.3) Assets required Proforma 2025 Estimate

To estimate assets required to meet our 2025 revenue estimates I created a row called Asset Turnover (TAT) which is calculated to be historical revenue over historical assets and averaged them to create a 2025 estimate.

Fiscal year is February – January. All values USD Millions.	2024	2023	2022	2021	
Total Assets	65,728	41,182	44,187	28,791	Estimated: 87969.48
Asset Turnover (TAT)	0.93	0.65	0.61	0.58	Average: 0.69

Table 7: Projected Necessary Assets 2025

This prediction is another tricky one. NVIDIA carried a steady TAT before 2024 around 63% but TAT had nearly a 50% increase in 2024. This drastic change is likely due to the level of future investment NVIDIA took on to support revenue growth they have seen. I would anticipate that TAT number to come down towards pre-2024 numbers so I feel comfortable with the average value used here to estimate.

Step 2.4) Liabilities required Proforma 2025 Estimate

To calculate then the assumed liabilities for 2025, I took an average of NVIDIA's reported Total Liabilities / Total Assets over the last four years from their annual report and average those to project 2025's liabilities using the estimated assets number from table 7.

Fiscal year is February – January. All values USD Millions.	2024	2023	2022	2021	2020	
Total Liabilities	22,750	19,081	17,575	11,898	5,111	98650.51
Total Liabilities / Total Assets	2.89	0.46	0.40	0.41	0.30	0.89

Table 8: Projected Necessary Liabilities 2025

The analysis of this data is very similar to takeaways from the assets step. Under assumption that NVIDIA's TL/TA change is a one-time deviation and not a new normal. It is acceptable to use an averaged value to predict 2025 Liabilities.

Step 2.5) Interest Expense, Tax Expense, Net Income, Dividends, and RE Proforma 2025 Estimate

The next step in my proforma analysis is to calculate Interest expense, tax expense, dividends, and retained equity. Interest expense is calculated as a percentage year over year change that is then used to scale 2024 Long term debt and other long-term liabilities. After that an average yoy change in interest expense multiplied by our 2025 debt projection to estimate 2025 interest expense.

Fiscal year is February-January. All values USD Millions.	2024	2023	2022	2021	2020	CAGR or AVG	Analyst Projection	2025 Proforma Projection
Other Liabilities	2,079	1,666	1,308	1,101	724		x	
Long Term Debt + Other Liabilities	11,657	12,271	12,995	7,699	3,276		x	14193.442
Long Term Debt + Other Liabilities yoy % change	-5.27%	-5.90%	40.75%	57.45%	x	21.76%	x	
Interest Expense	257	262	236	184	52		x	287.64727
% Interest Expense / Long term and other debt	2.20%	2.14%	1.82%	2.39%	1.59%	2.03%		

Table 9: Projected Long-Term liability and Interest Expense 2025

Fiscal year is February-January. All values USD Millions. Highlighted = calculated	2024	2023	2022	2021	2020	CAGR or AVG	Management Projection	Analyst Projection	Final Forecast	2025 Proforma Projection
Income Tax	4,058	-187	189	77	174					\$1,905.54
Income Tax %	9.16%	-1.22%	1.08%	0.74%	2.57%	2.47%				

Table 10: Projected Income Tax 2025

The income tax percentage is estimated as a percentage of years past which were calculated using given Income tax data as a percentage of gross income. That percentage yoy was averaged then multiplied by a projected gross income.

Projected dividends were calculated as a simple average of the last three years which is all the data provided in NVIDIA's cash flow statement. Nvidia paid: 395M, 398M, and 399M in the years 2024, 2023, and 2022 respectively. This averages to ~397M for 2024. These numbers are held constant by NVIDIA's leadership.

Retained Earnings

	2024	2023	2022	2021	2020	2025 Proforma Estimate
Dividends Paid	395	398	399			397.33
Net Income	29,760	4,368	9,752	4,332	2,796	\$47,020.80
Retained Earnings	29,817	10,171	16,235	18,908	14,971	\$76,440.47

Table 11: Retained Earnings 2025

RE is calculated from a few other projections. First 2025 dividends are projected. NVIDIA holds that number fairly constant, so the value is calculated from a straight average based on historical data. Net income was estimated earlier in this assignment, so it is carried through to the RE calculation. Finally, RE is calculated by adding net income – dividends to the previous year's RE which projects huge growth for NVIDIA's retained earnings in 2025.

Asset Plug

Finally, an asset plug is calculated to balance the equation $\text{Assets} = \text{liabilities} + \text{Shareholder's equity}$.

	2024	2023	2022	2021	2020	2025 Proforma Estimate
Total Assets	65,728	41,182	44,187	28,791	87969.479	Total Assets
Total Liabilities	22,750	19,081	17,575	11,898	5,111	98650.5103
Total Shareholders' Equity	42,978	22,101	26,612	16,893	12,204	54266.61197
Total Shareholders' Equity / Total Assets	65.39%	53.67%	60.23%	58.67%	70.48%	61.69%
Balance Sheet Plug						\$64,947.64

Table 12: Balance Sheet Plug 2025

Since TA and TL were already calculated all that remained to be tallied was Total SE which was projected using an averaged value of total SE / total assets then multiplied by 2025 projected assets to get an estimated SE for 2025. Using that new value, I was then able to create the balance sheet plug in table 12 to balance the equation described above. Since all values have been recorded in millions this resulted in a plug value of \$64.9B.

	NVIDIA Income Statement										
Proforma it	Fiscal year is February-January. All values USD Millions. Highlighted = calculated										
		2024	2023	2022	2021	2020	CAGR or AVG	Management Projection	Analyst Projection	Final Forecast	2025 Proforma Projection
1	Sales/Revenue	60,922	26,974	26,914	16,675	10,918	41.03%	122.00%	52.00%	71.68%	\$104,589.83
	Sales Growth	125.85%	0.22%	61.40%	52.73%	-					
3	Cost of Goods Sold (COGS) incl. D&A	16,621	11,618	9,439	6,279	4,135					
	COGS % Calculated	27.28%	43.07%	35.07%	37.66%	37.87%	36.19%	25%	x	30.60%	21,706
	COGS excluding D&A	15,113	10,074	8,265	5,181	3,754					
	Depreciation & Amortization Expense	1,508	1,544	1,174	1,098	381					
	Depreciation	894	845	611	486	356					
	Amortization of Intangibles	614	699	563	612	25					
	COGS Growth	43.06%	23.09%	50.33%	51.85%	-					
	Gross Income	44,301	15,356	17,475	10,396	6,783	77,274				
	Gross Income Growth	188.49%	-12.13%	68.09%	53.27%	-	74.43%				
	Gross Profit Margin	72.72%	-	-	-	-					
4	SG&A Expense	11,329	9,779	7,434	5,780	3,892	x	x	x	x	
	SG&A / Revenue	18.60%	36.25%	27.62%	34.66%	35.65%	30.56%	9.29%	x	19.93%	13,586
	Research & Development	8,675	7,339	5,268	3,924	2,829					
	Other SG&A	2,654	2,440	2,166	1,856	1,063					
	SGA Growth	15.85%	31.54%	28.62%	48.51%	-					
	EBIT	32,972	5,577	10,041	4,616	2,891					
	Unusual Expense	-174	1,414	-100	84	45					
	Non Operating Income/Expense	63	13	7	4	-2					
	Non-Operating Interest Income	866	267	29	57	178					

	Interest Expense	257	262	236	184	52					
	Interest Expense Growth	-1.91%	11.02%	28.26%	253.85%	-					
	Gross Interest Expense	257	262	236	184	52					
	Pretax Income	33,818	4,181	9,941	4,409	2,970					
	Pretax Income Growth	708.85%	-57.94%	125.47%	48.45%	-					
	Pretax Margin	55.51%	-	-	-	-					
	Income Tax	4,058	-187	189	77	174					\$1,905.54
13											
	Income Tax %	9.16%	-1.22%	1.08%	0.74%	2.57%	2.47%				
13	Income Tax - Current Domestic	6,045	1,749	524	198	69					
	Income Tax - Current Foreign	502	228	71	161	87					
	Income Tax - Deferred Domestic	-2,705	-2,165	-420	-246	2					
	Income Tax - Deferred Foreign	216	1	14	-36	16					
	Consolidated Net Income	29,760	4,368	9,752	4,332	2,796					
2	Net Income	29,760	4,368	9,752	4,332	2,796	X	X	X	X	\$47,020.80
	Net Income Growth	581.32%	-55.21%	125.12%	54.94%	-	60.48%	x	58%	59%	X
	Net Margin	48.85%	-	-	-	-					
	Net Income After Extraordinaries	29,760	4,368	9,752	4,332	2,796					
	Net Income Available to Common	29,760	4,368	9,752	4,332	2,796					
	EPS (Basic)	1.19	0.17	0.38	0.17	0.11					
	EPS (Basic) Growth	585.02%	-54.72%	123.14%	52.43%	-					
	Basic Shares Outstanding	2,469	2,487	2,496	2,468	2,436	x	x	x	x	2469
	EPS (Diluted)	1.19	0.17	0.38	0.17	0.11					
	EPS (Diluted) Growth	584.87%	-54.71%	123.07%	52.47%	-					
	Diluted Shares Outstanding	2,494	2,507	2,535	2,512	2,472					
	EBITDA	34,480	7,121	11,215	5,714	3,272					
	EBITDA Growth	384.20%	-36.50%	96.27%	74.63%	-					
	EBITDA Margin	56.60%	-	-	-	-					
	EBIT	32,972	5,577	10,041	4,616	2,891					
	Dividend	395	398	399		397.33333					

NVIDIA Balance Sheet								
Fiscal year is February-January. All values USD Millions.	2024	2023	2022	2021	CAGR or AVG	Management Projection	Analyst Projection	2025 Proforma Projection
Cash & Short Term Investments	25,984	13,296	21,208	11,561				
Cash Only	7,280	3,389	1,990	847				
Cash & Short Term Investments Growth	95.43%	-37.31%	83.44%	6.09%				
Cash & ST Investments / Total Assets	39.53%	32.29%	48.00%	40.15%				
Total Accounts Receivable	9,999	3,827	4,650	2,429				
Accounts Receivables, Net	9,999	3,827	4,650	2,429				
Accounts Receivables, Gross	9,999	3,827	4,650	2,433				
Bad Debt/ Doubt	-	-	-	-4				
Accounts Receivable Growth	161.28%	-17.70%	91.44%	46.59%				
Accounts Receivable Turnover	6.09	7.05	5.79	6.86				
Inventory	5,282	5,159	2,605	1,826				
Finished Goods	2,058	2,263	1,122	737				
Work in Progress	1,505	466	692	457				
Raw Materials	1,719	2,430	791	632				
Other Current Assets	3,080	791	366	239				
Miscellaneous Current Assets	3,080	791	366	239				
Total Current Assets	44,345	23,073	28,829	16,055				
Net Property, Plant & Equipment	5,260	4,845	3,607	2,856				
Property, Plant & Equipment - Gross	8,769	7,539	5,510	4,264				
Buildings and Land	-	-	-	341				
Machinery & Equipment	-	-	-	782				
Construction in Progress	189	382	737	558				
Computer Software and Equipment	5,200	4,303	2,852	1,187				
Other Property, Plant & Equipment	1,816	1,598	874	471				
Accumulated Depreciation	3,509	2,694	1,903	1,408				
Total Investments and Advances	1,546	299	266	-				
Other Long-Term Investments	1,546	299	266	-				

NVIDIA Balance Sheet							
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Accounts Receivables, Gross	9,999	3,827	4,650	2,433			
Bad Debt/Doubtful Accounts	-	-	-	-4			
Accounts Receivable Growth	161.28%	-17.70%	91.44%	46.59%			
Accounts Receivable Turnover	6.09	7.05	5.79	6.86			
Inventories	5,282	5,159	2,605	1,826			

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Total Current Assets	44,345	23,073	28,829	16,055			
Net Property, Plant & Equipment	5,260	4,845	3,607	2,856			
Property, Plant & Equipment - Gross	8,769	7,539	5,510	4,264			
Buildings	-	-	-	341			
Land & Improvements	218	218	218	218			
Machinery & Equipment	-	-	-	782			
Construction in Progress	189	382	737	558			
Computer Software and Equipment	5,200	4,303	2,852	1,187			
Other Property, Plant & Equipment	1,816	1,598	874	471			
Accumulated Depreciation	3,509	2,694	1,903	1,408			

Total Investments and Advances	1,546	299	266	-			
Other Long-Term Investments	1,546	299	266	-			
Intangible Assets	5,542	6,048	6,688	6,930			
Net Goodwill	4,430	4,372	4,349	4,193			
Net Other Intangibles	1,112	1,676	2,339	2,737			
Other Assets	2,954	3,521	3,575	2,144			
Deferred Charges	2,822	3,376	2,156	-			
Tangible Other Assets	132	145	1,419	2,144			
Total Assets	65,728	41,182	44,187	28,791	87969.47 9		
Assets - Total - Growth	59.60%	-6.80%	53.48%	66.28%			
Asset Turnover (TAT)	0.93	0.65	0.61	0.58	0.69		
Return On Average Assets	55.67%	-	-	-			
All values USD Millions.	2024	2023	2022	2021	2020		
ST Debt & Current Portion LT Debt	1,478	1,426	-	1,120	91		
Short Term Debt	1,478	1,426	144	1,120	91		
Accounts Payable	2,699	1,193	1,783	1,201	687		
Accounts Payable Growth	126.24%	-33.09%	48.46%	74.82%	-		
Income Tax Payable	296	467	-	61	61		
Other Current Liabilities	6,158	3,477	2,408	1,543	945		

Accrued Payroll	675	530	409	323	185		
Miscellaneous Current Liabilities	5,483	2,947	1,999	1,220	760		
Total Current Liabilities	10,631	6,563	4,335	3,925	1,784		
Current Ratio	4.17	3.52	6.65	4.09	7.67		
Quick Ratio	3.67	2.73	6.05	3.63	7.13		
Cash Ratio	2.44	2.03	4.89	2.95	6.11		
Long-Term Debt	9,578	10,605	11,687	6,598	2,552		
Long-Term Debt excl. Capitalized Leases	8,459	9,703	10,946	5,964	1,991		
Non-Convertible Debt	8,459	9,703	10,946	5,964	1,991		
Provision for Risks & Charges	-	-	-	33	22		
Deferred Taxes	-5,619	-3,149	-977	-565	-519		
Deferred Taxes - Credit	462	247	245	241	29		
Deferred Taxes - Debit	6,081	3,396	1,222	806	548		
Other Liabilities	2,079	1,666	1,308	1,101	724		
Long Term Debt + Other Liabilities	11,657	12,271	12,995	7,699	3,276	14193.4421	
Long Term Debt + Other Liabilities yoy % change	-5.27%	-5.90%	40.75%	57.45%	x	21.76%	
Interest Expense Copy	257	262	236	184	52	287.6472685	
% Interest Expense / Long term and other debt	2.20%	2.14%	1.82%	2.39%	1.59%	2.03%	

Other Liabilities (excl. Deferred Income)	1,506	1,448	1,106	938	664		
Deferred Income	573	218	202	163	60		
Total Liabilities	22,750	19,081	17,575	11,898	5,111	98650.5103	
Total Liabilities / Total Assets	2.89	0.46	0.40	0.41	0.30	0.89	
Common Equity (Total)	42,978	22,101	26,612	16,893	12,204		
Common Stock Par/Carry Value	2	2	3	1	1		
Additional Paid-In Capital/Capital Surplus	13,132	11,971	10,385	8,721	7,045	15359.2124	
Yoy change	109.70%	115.27%	119.08%	123.79%	average	116.96%	
Retained Earnings	29,817	10,171	16,235	18,908	14,971	\$76,440.47	
Other Appropriated Reserves	27	-43	-11	19	1		
Treasury Stock	-	-	-	-10,756	-9,814	0	
Common Equity / Total Assets	65.39%	53.67%	60.23%	58.67%	70.48%		
Total Shareholders' Equity	42,978	22,101	26,612	16,893	12,204	62000.88853	
Total Shareholders' Equity / Total Assets	65.39%	53.67%	60.23%	58.67%	70.48%	61.69%	
Total Equity	42,978	22,101	26,612	16,893	12,204		
Liabilities & Shareholders' Equity	65,728	41,182	44,187	28,791	17,315		
Balance Sheet Plug						\$72,681.92	
D&A copy	3,509	2,694	1,903	1,408		\$3,055.87	
PP&E + Intangible assets net	6,372	6,521	5,946	5,593	NA	6,663	

PP&E + Intangible assets net % Change	-2.28%	9.67%	6.31%	x	4.57%	
% D&A / (PP&E + Net intangible)	55.07 %	41.31 %	32.00 %	55.07 %	45.86 %	